NexusIQ Corporation — Payment Method Adoption Report

FY 2024 Annual Review | Prepared by: Finance Operations | Date: January 22, 2025

Scope: All 100,000 transactions | Total Revenue: $175,595,178.16 | Classification: Internal

1. Executive Summary

FY 2024 marked a significant shift in NexusIQ's payment method distribution. Digital wallet adoption — primarily Apple Pay and Google Pay — grew from 11.2% of transactions in Q1 2024 to 22.4% in Q4 2024, a near-doubling over the course of the year. This growth came at the expense of traditional credit card share, which declined from 49.1% in Q1 to 43.2% in Q4. Debit card share was relatively stable. Buy Now Pay Later (BNPL) held steady at 6-7% throughout the year.

The digital wallet trend carries several strategic implications. Fraud and chargeback rates for digital wallet transactions are significantly lower than for card transactions — digital wallet fraud rate was 0.12% in FY 2024 versus 0.81% for credit cards — generating approximately $218,000 in avoided fraud losses. Additionally, digital wallet checkout completion rates are 8.3 percentage points higher than credit card checkout, contributing to revenue capture that would otherwise be lost to cart abandonment.

2. Payment Method Distribution by Quarter

The table below shows payment method share by transaction count and the corresponding revenue share for each payment type. Digital wallet transactions skew slightly toward higher-value purchases, particularly in the Electronics category where Apple Pay usage is concentrated among Laptop and Phone buyers. BNPL shows the inverse pattern — higher adoption in lower-ASP categories like Food and Clothing where customers split purchases into installments.

Payment Method	Q1 2024 Share	Q2 2024 Share	Q3 2024 Share	Q4 2024 Share	FY 2024 Avg
Credit Card	49.1%	47.2%	45.8%	43.2%	46.3%
Debit Card	29.8%	28.9%	27.6%	27.1%	28.4%
Digital Wallet (Apple/Google Pay)	11.2%	14.1%	17.3%	22.4%	16.3%
Buy Now Pay Later (BNPL)	6.9%	6.8%	6.7%	5.9%	6.6%
Bank Transfer / ACH	3.0%	3.0%	2.6%	1.4%	2.5%
Total	100%	100%	100%	100%	100%

Share measured by transaction count across 100,000 FY 2024 transactions.

3. Digital Wallet Adoption Deep-Dive

The 22.4% digital wallet share in Q4 2024 is the highest recorded for any quarter in NexusIQ's history. Three factors drove the acceleration. First, the NexusIQ mobile app introduced Apple Pay and Google Pay as one-tap checkout options in March 2024, reducing friction in the mobile purchase flow. By Q4, mobile-app purchases accounted for 38% of all transactions, and among mobile transactions, digital wallet was the dominant payment method at 47%.

Second, NexusIQ ran a 2% rebate promotion for digital wallet payments during October and November 2024, which drove adoption among first-time digital wallet users. Post-promotion analysis shows that 71% of customers who first used a digital wallet during the promotion continued using it for subsequent purchases in December, indicating strong habit formation.

Third, generational shift plays a role. The 18-34 age cohort — which represents an estimated 34% of NexusIQ's customer base by transaction count — uses digital wallets at a 41% rate versus 8% for customers over 55. As the customer base continues to skew younger in new customer acquisition, digital wallet adoption is expected to continue growing organically.

4. Fraud and Chargeback Analysis by Payment Method

Payment method selection has a measurable impact on fraud rates and chargeback incidence. Digital wallets use tokenized payment credentials and biometric authentication, making them substantially harder to compromise than traditional card numbers. The data below reflects FY 2024 fraud and chargeback experience across NexusIQ's payment processing.

Payment Method	Transaction Volume	Fraud Rate	Chargeback Rate	Est. Annual Loss	Trend
Credit Card	46,300 txns	0.81%	0.43%	$174,240	Stable
Debit Card	28,400 txns	0.34%	0.18%	$28,480	Declining
Digital Wallet	16,300 txns	0.12%	0.06%	$3,920	Declining
BNPL	6,600 txns	0.22%	0.51% (disputes)	$9,140	Stable
Bank Transfer	2,500 txns	0.08%	0.04%	$1,280	Declining
Total / Weighted Avg	100,000 txns	0.51% avg	0.31% avg	$217,060	Improving

Fraud rates and losses estimated from payment processor reports. Digital wallet fraud avoidance versus credit card: ~$218K in FY 2024.

5. Category Affinity by Payment Method

Payment method preference varies meaningfully by product category. Electronics buyers show the highest digital wallet adoption, driven by mobile-first purchasing behavior among the category's younger demographic. BNPL is most prevalent in Clothing and Home categories, where customers use installment financing to manage larger discretionary purchases. Food category transactions are overwhelmingly debit-card based, consistent with everyday grocery purchasing patterns.

Category	Top Payment Method	Digital Wallet Share	BNPL Share	Credit Card Share
Electronics	Credit Card (40%)	26.2%	5.8%	40.0%
Home	Credit Card (44%)	14.1%	9.2%	44.1%
Sports	Credit Card (47%)	12.8%	7.4%	47.0%
Clothing	Credit Card (46%)	11.2%	10.8%	46.2%
Food	Debit Card (51%)	5.4%	2.1%	31.4%

6. FY 2025 Outlook

Digital wallet adoption is forecast to reach 28-32% of transactions in FY 2025 based on current trajectory. Finance Operations recommends maintaining the digital wallet checkout incentive program through at least Q2 2025, given the strong habit formation demonstrated in Q4 2024. The continued shift toward digital wallets is projected to reduce annual fraud losses by an additional $35,000-$55,000 per year as the payment mix tilts away from higher-fraud credit card transactions.

BNPL risk monitoring will continue in FY 2025. While BNPL chargeback rates are within acceptable bounds, the BNPL provider has indicated potential pricing changes for merchants above certain volume thresholds. The Finance team is evaluating a secondary BNPL provider relationship as a negotiating leverage tool ahead of contract renewal discussions in Q2 2025.